International Institute of Information Technology
HSS.202- Introduction to Economics
Monsoon 2023
Mid-Semester Exam

Time: 90 minutes **Marks: 30**

Answer any two from the following questions within 500-700 words each.

1. "We do not easily change our allegiance to economic theories, precisely because these theories are closely connected to our understanding of the world and of ourselves." (Wolff and Resnick, 2012)

   a) Argue for or against the above statement.
   b) What can be the different scientific and social bases of evaluating an economic theory?

   (8+7)

2. a) Explain the conceptualization of class as a process in Marxian theory. How is it different from the more conventional understanding of class as a group?
   b) How is household work understood within the framework of class processes?

   (9+6)

3. a) Consider a government engaging in extra public spending to counteract a negative investment shock. The government funds the excess spending by increasing an equivalent amount in lumpsum (fixed) tax.
   What is the value of the multiplier in this case? Derive the value logically in stages or algebraically.

   b) In what sense does GDP not value leisure as a commodity? Has this problem become more or less pronounced in contemporary times?

   (9+ 6)